



D&G'S MARKETING MISSTEPS IN CHINA (A): HOW TO BALANCE FASHION BRAND STRATEGY AND CULTURAL SENSITIVITY?

We planned an “homage to China, to celebrate the country, and at the same time, to tell our story and love for fashion. We want to give life to a great show that we hope will be unforgettable to everyone. We used details that belong to the local culture, but always with sensitivity, without being intrusive.

—Domenico Dolce¹

On 18 November 2018, to promote its first-ever fashion show in China, Dolce & Gabbana S.R.L. (D&G) released three short videos on Instagram, Facebook, and Twitter as well as Sina Weibo in China.² With hashtags #DGLovesChina and #DGTheGreatShow, the campaign was specifically designed to drum up excitement about an important catwalk event to be held at the Expo Center of Shanghai three days later.³ But the videos did not create the intended positive effect. The intricacies and subtleties of the Chinese tradition, language, tone, culture, and visual designs were apparently overlooked and did not translate into a blend of East and West elements. The incongruous or extreme presentations in the videos jeopardized the entire promotion campaign. From the Chinese perspective, the D&G videos were not entertaining but inappropriate, offending, and racist. The result enraged the Chinese audience and fueled a heated online debate. Public pressure forced D&G, within 24 hours after putting the videos online, to remove the videos from its Weibo promotion channel. Many Chinese netizens also demanded a formal apology from D&G.

¹ “D&G cancels show, apologizes over racism scandal,” Associated Press and *China Daily*, 22 November 2018, <https://www.chinadailyhk.com/articles/228/17/170/1542868595231.html>, accessed 11 May 2019.

² Although D&G also had official WeChat and Youku accounts in China, the three short promotion videos were not posted on such social media accounts.

³ “A hashtag (#) is a type of metadata tag used on social networks, allowing users to apply dynamic, user-generated tagging which makes it possible for others to easily find messages with a specific theme or content.” Wikipedia, “Hashtag,” <https://en.wikipedia.org/wiki/Hashtag>, accessed 11 May 2019.

Mary Ho prepared this case under the supervision of Professor Kineta Hung for class discussion. This case is not intended to show effective or ineffective handling of decision or business processes. The authors might have disguised certain information to protect confidentiality. Cases are written in the past tense, this is not meant to imply that all practices, organizations, people, places or fact mentioned in the case no longer occur, exist or apply.

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The Controversial #DGLovesChina Videos

The videos released by D&G on 18 November 2018 featured a young Chinese lady with narrow eyes dressed in the brand's sequined red dress and accessories against an oriental backdrop with a red lantern. With traditional Chinese music playing in the background, a male voice in Putonghua welcomed the audience to the series entitled, "Eating with Chopsticks—by Dolce and Gabbana."⁴ Throughout the videos, the narrator (the male voice) consistently and comically mispronounced the name of the brand "Dolce" as "Dos," imitating a common mistake made by local Chinese.

In the first episode, about "Pizza Margherita" [see **Exhibit 1**], the Chinese lady struggled to use chopsticks to eat an entire pizza. She wore a childish smile and appeared to have limited or no prior experience with Italian food. When asked to try the pizza with chopsticks, the Chinese lady showed surprise and disbelief at first, then rolled her eyes and attempted to cut the pizza with split-up chopsticks, i.e., holding one stick in each hand, in a clumsy way. Then the narrator advised her in a lecturing tone not to use the chopsticks as knives but to use them like pliers. The narrator described chopsticks as "little stick-shaped cutlery" while being juxtaposed against the "great traditional Pizza Margherita."⁵ Eventually the lady picked up a slice of the pizza with her chopsticks and was delighted and satisfied at the tastiness of the Italian cuisine.

In the second and third episodes [see **Exhibits 2 and 3**], the same lady attempted to eat the Sicilian pastry cannoli and a bowl of spaghetti al pomodoro (spaghetti with tomato sauce) with chopsticks. When the lady tried to pick up a giant version of the cannoli with chopsticks, she looked baffled and confused. In response to her perplexed expression, the narrator asked her in a mocking tone, "Is it too big for you?"⁶ Then the narrator went on and advised her to try digging in and eating smaller slices with her chopsticks. The narrator continued in a condescending tone, saying, "This will make you feel like you are in Italy, but you are actually in China."⁷

Then the same lady appeared to have trouble eating spaghetti with chopsticks. Instead of maneuvering chopsticks in the normal way as if she were eating Chinese noodles, she followed the narrator's instructions and awkwardly twirled the spaghetti with her chopsticks. At the end of each episode, the narrator exclaimed, "*Bravissimo*" (Italian for very good), after the lady had successfully tried the Italian delicacies with chopsticks.⁸ The Chinese subtitle for Shanghai that appeared in the videos was written incorrectly, with a Japanese font (kanji) for "hai" being used [see **Exhibit 4**].⁹

The Gap between Cultural Expectations and Reality

The D&G videos, which might have been intentionally designed as comedies, used the presentation of awkward table manners, blustering languages or tones, and exaggerated expressions to attract public attention in China. "What a fool!" the audience was supposed to think, as the narrator poked fun at the Chinese lady for her atrocious table manners.¹⁰ However, most, if not all, of the Chinese audience was not amused. A key reason was that playing with

⁴ "Full Commercial—Dolce and Gabbana China—Full Commercial Ads," *Sunrise Sunset*, 28 November 2018, <https://www.youtube.com/watch?v=TBFC5isQuYA>, accessed 11 May 2019.

⁵ Ibid.

⁶ Ibid.

⁷ Ibid.

⁸ Ibid.

⁹ "The things you never notice in these commercials D&G Commercial English Dub/Sub," *LC Chinese Esports*, 28 November 2018, <https://www.youtube.com/watch?v=cJ83SVAAaNR4>, accessed 11 May 2019.

¹⁰ E. Segran, "Why does luxury fashion hate Chinese consumers," *Fast Company*, 3 December 2018, <https://www.fastcompany.com/90273073/why-does-luxury-fashion-hate-chinese-consumers>, accessed 11 May 2019.

chopsticks was not considered funny but disrespectful in China. Chopsticks were unique and important eating utensils invented by the ancient Chinese and represented Chinese traditional culture. Most Chinese parents had trained their children to use chopsticks and taught them that misusing chopsticks was unacceptable.

From the Chinese perspective, the D&G videos were not entertaining but inappropriate, offensive, and racist. The protagonist in the videos was a Chinese lady with small, narrow eyes—a stereotype for Asians.¹¹ Netizens soon learned that the Chinese lady was Zuo Ye, a model whose eyes were quite big and had artificially been made small and narrow for the purpose of performing in the series. The male narrator's comment on the size of the Sicilian cannoli pastry as being "too big" for the lady also appeared to have sexist undertones.¹²

The hubristic and lecturing tone of the narrator also angered the Chinese audience and sparked outrage across social media platforms. Some questioned why he was talking down to the lady as if she were a child, drawing specific reference to the narrator's comment in episode 3, i.e., "Those who manage to eat it will score high points!"¹³⁻¹⁴ Others asked why a Western company had the authority to give a lecture on how to use traditional Chinese utensils. By emphasizing the great difference between Italian pasta and Chinese noodles in an exaggerated tone, the narrator seemed to imply that Chinese food was inferior to Italian cuisine. The use of Chinese chopsticks to demonstrate clumsy table manners with Western food also seemed to convey the message that chopsticks were inferior to forks. Some wondered whether it was a deliberate attempt by D&G to trivialize Chinese culture.¹⁵

In the third episode, the choice of comparing pasta with Chinese noodles was also considered inappropriate from a historical angle. It was commonly believed that Marco Polo introduced pasta into Italy during the 13th century as an imitation of Chinese noodles.¹⁶ Hence, pasta likely descended from ancient Chinese noodles. The idea of presenting a Chinese woman who was not able to use chopsticks correctly in her home country was also considered ridiculous and offensive. The lady's awkward use of chopsticks seemed to hint that Chinese were inexperienced in handling Italian food from the Western perspective. This was particularly striking because the videos were to promote the planned fashion show in Shanghai, a modern metropolis whose citizens were used to having Western cuisine. It seemed as if D&G had not accounted for the modern habits of Chinese citizens. Indeed, the videos appeared to convey the message that Chinese people embraced European luxury fashion, but were perhaps too local, uneducated, or stupid to really understand European culture.¹⁷ The narrator's repeated mispronunciation of the brand name "Dolce" seemed to confirm such a message.

Other netizens disapproved of the image of China depicted in the videos with traditional visual elements like red lanterns and Chinese background music. They were upset with the outdated, stereotypical view of China and questioned why the videos failed to present the modern aspects of the country. One netizen commented,

¹¹ G. Puppini, "Playing with Chopsticks in China is not funny: A critical reading of the controversy over D&G's 'Eating with Chopsticks' Ad," *Asia Dialogue*, 17 December 2018, <https://theasiadialogue.com/2018/12/17/playing-with-chopsticks-in-china-is-not-funny-a-critical-reading-of-the-controversy-over-dgs-eating-with-chopsticks-ad/>, accessed 11 May 2019.

¹² M. Koetse, "Overview of Dolce&Gabbana China Marketing Disaster Through Weibo Hashtags," *What's On Weibo*, 23 November 2018, <https://www.whatsonweibo.com/understanding-the-dolce&gabbana-china-marketing-disaster-through-weibo-hashtags/>, accessed 11 May 2019.

¹³ "Full Commercial—Dolce and Gabbana China—Full Commercial Ads," *Sunrise Sunset*.

¹⁴ G. Puppini, "Playing with Chopsticks in China is not funny."

¹⁵ "'Racist' D&G ad: Chinese model said campaign almost ruined career," *BBC News*, 23 January 2019, <https://www.bbc.com/news/world-asia-china-46968750>, accessed 11 May 2019.

¹⁶ G. Puppini, "Playing with Chopsticks in China is not funny."

¹⁷ E. Segran, "Why does luxury fashion hate Chinese consumers."

I suspect that this D&G video hit a nerve because it validates Asian consumers' feelings that these brands have always treated us with an attitude of superiority. The ad suggests that D&G is happy to take a Chinese person's money, but they don't believe these nouveau-riche consumers will fully appreciate the brand's heritage or the craftsmanship of the products.¹⁸

Most Chinese netizens seemed to concur in labeling D&G's campaign as "offensive towards China." Some defined the ads as "crazy," "sick," and "in poor taste."¹⁹ Others demanded an official apology from the company. As a result of widespread negative comments and harsh criticism across different social media platforms, the three videos were removed from D&G's Weibo account in 24 hours after their release, without any official explanation. However, the videos still appeared on other social media platforms, including Instagram, Facebook, and Twitter, which were not accessible to most mainland Chinese citizens due to internet censorship in China.

Other netizens held the opinion that, despite people feeling uncomfortable with the videos, D&G did not actually plan to be racist and offensive. They believed that the campaign was only designed to align with the brand style, products, and strategy. The overall and exaggerated effect of the videos might have been created on purpose only to draw public attention. Nevertheless, the incorrect juxtaposition of the East and West elements reflected D&G's lack of understanding of Chinese culture and modern progress. One netizen commented,

I thought they were clearly in poor taste—an outdated orientalism that looked cheap and sad rather than actively intended to offend—and more importantly that they reflected a pretty severe lapse in understanding the market they were trying to cater to.²⁰

D&G Company Profile

D&G was a renowned luxury fashion brand whose name was derived from the surnames of two famous Italian designers, Domenico Dolce and Stefano Gabbana; their D&G logo was iconic around the world. The two met in Milan in 1980 and founded a fashion house in Legnano in 1985 while they were still in their 20s.²¹ Born in Sicily, Domenico was the son of a tailor. He studied fashion design and gained experience in his family's business. Stefano came from a working-class family in Milan and was originally a graphic designer before he gained work experience in fashion. He actively posted on Instagram and had over 2 million followers as of May 2019. Domenico and Stefano began their creative partnership as a couple, but in 2005 they ended their relationship and continued to carry on the business as friends. In 2018, the Group was still privately owned and had boutiques around the world, including more than 120 locations in Italy.²²

D&G offered a wide collection of branded collections of high-end apparel, leather goods, accessories, footwear, jewelry, watches, and skin-care products. It licensed its brand names for some products, including fragrances, eyewear, and jewelry, but retained control

¹⁸ Ibid.

¹⁹ G. Puppini, "Playing with Chopsticks in China is not funny."

²⁰ "I watched the D&G's China show fall apart from the inside," *Dazed*, 23 November 2018, <https://www.dazeddigital.com/fashion/article/42334/1/dolce-gabbana-dg-china-cancelled-shanghai-show-model-experience>, accessed 11 May 2019.

²¹ Dolce & Gabbana Corporate: History, <https://www.dolcegabbana.com/corporate/en/history/main-stages.html#>, accessed 11 May 2019.

²² "Dolce & Gabbana Srl—Company Profile," *Hoovers*, http://www.hoovers.com/company-information/cs/company-profile.dolce_gabbana_srl.e03e255263814ad1.html?aka_re=1, accessed 11 May 2019.

over most of its production lines and distribution. Since the 2000s, the Group had become vertically integrated, as it integrated its design, manufacturing, and distribution functions. The firm had its own production companies, including Dolce & Gabbana Industria S.p.A. in Legnano for clothes and Incisa Val D'Arno for shoes and leather accessories. It also had its own store network across the globe through wholly owned companies and subsidiaries as well as an online distribution platform.²³ However, the Group failed to get the matching DG internet domain, which originally belonged to a computer company and was later registered by Dollar General after a bidding war with D&G.

The D&G Style

We built our fashion around three fundamental concepts: Sicily, tailoring, and tradition. Our dream is to create a style which is timeless, and to create clothes with such a strong personality that whoever sees them can instantly say without a shadow of a doubt: this is a Dolce & Gabbana.

—Domenico Dolce²⁴

The style of D&G products was inspired by Sicily and heavily influenced by the cultural roots of the Italian founders. Indeed, the brand represented a creative marriage of the founders. Its collections frequently incorporated imagery from Sicilian places, human interactions, elaborate prints, heavy embroidery, black lace, and flowers. Its designs often combined nostalgic elements with modernity and sensuality, and sometimes provocation, with an element of Hollywood glamour. The brand image was supported by a carefully designed in-store environment, with a combination of materials that made the settings looked both antique and modern and chic, romantic, and classy.²⁵

The core product line, Dolce&Gabbana (spelled without spaces, unlike the name of the company), was luxurious, more formal, and “timeless,” taking account of seasonal changes and long-term trends.²⁶ D&G was the youthful, lower-priced line that was launched in 1994 to target the younger, edgier customer group. However, the company decided to discontinue this line of the brand in order to focus on developing the core brand. Over the years, the company had created other lines, including a bridal collection and a home collection. Similar to the fate of the youthful line, D&G, these lines ceased to operate in 1998 and 1999. In 2001, the company introduced the D&G Junior line for children.

Unlike other many other international fashion houses, D&G had closed the less expensive lines and remained privately owned. In the absence of pressure from external investors, the founders could commit to designing for the ultra-wealthy and prestigious classes while continuing to indulge in their creative fantasies. As Domenico said, “Do you ask the cost of a Michelangelo? You don’t ask the price. Beauty has no price.”²⁷

²³ Ashley E. Davidson, “Dolce & Gabbana: The Business,” blog, 8 June 2009, <http://www.ashleyedavidson.com/blog/dolce-gabbana-the-business>, accessed 11 May 2019.

²⁴ “Readers interview Dolce & Gabbana,” *The Guardian*, 18 June 2010, <https://www.theguardian.com/lifeandstyle/2010/jun/18/readers-interview-dolce-gabbana>, accessed 11 May 2019.

²⁵ “Dolce & Gabbana: The Business,” *WordPress.com*, 6 June 2009, <https://eurbanista.wordpress.com/2009/06/08/dolce-gabbana-the-business/>, accessed 11 May 2019.

²⁶ “Dolce & Gabbana,” *Wikipedia*, https://en.wikipedia.org/wiki/Dolce_%26_Gabbana#cite_note-AAB-31, accessed 11 May 2019.

²⁷ R. Givhan, “Dolce and Gabbana are rich, extravagant and politically incorrect. You got a problem with that?,” *Washington Post*, 22 May 2018, https://www.washingtonpost.com/lifestyle/style/dolce-and-gabbana-are-rich-extravagant-and-politically-incorrect-you-got-a-problem-with-that/2018/05/22/63caa8c-41b0-11e8-ad8f-27a8c409298b_story.html?utm_term=.24a31d59d91f, accessed 11 May 2019.

D&G had made enormous efforts in creating an online brand environment by launching an online blogazine, e-commerce stores, and a mobile app to draw the interest of internet-savvy customers. The mobile app was not only an e-store, but it also provided product information and photos, including official models wearing D&G apparel. Users could also see some runway photos from D&G's fashion events.²⁸

D&G used celebrity endorsements to enhance the brand's Hollywood appeal. It achieved this through sponsored public appearances, events, and ad campaigns. The company also used well-known celebrities, photographers, and models in its advertising campaigns. For instance, it launched its cosmetics line in 2009, with Scarlett Johansson appearing in the advertising campaign and promotion event. In 2010, it joined forces with pop queen Madonna to design and launch a collection of sunglasses titled *MDG*.

In 2016, D&G began to change its traditional uniform store strategy and roll out new experience retail stores with the objective of creating a localized destination for customers. The move marked the end of the "concept store philosophy" in favor of a new formula where "experience and storytelling" was the focus.²⁹ With the help of five architectural firms, some of the mono-brand stores were transformed into new experience spaces. According to Domenico,

*Many customers are travelling a lot, one day they are in London, another day in Milan . . . and if you have the same store in London, exactly like Milan, with the same clothes, it's like déjà vu for the customer . . . Customers want more than just goods—more than just clothes and accessories—and they long for experiences in different places, and a point of view.*³⁰

As a result, new experience stores were created not only in key cities in Europe and the US but also in Asia, including Tokyo and Beijing.

Financial Position

According to figures reported by *Business Insider Italia*, D&G's revenue remained relatively flat from 2017 to 2018. Sales revenue was 1.29bn euros for the fiscal year ended 31 March 2018, as compared with 1.297bn euros for the preceding fiscal year.^{31,32} However, there was still 9% growth as compared with the revenue reported in FY2016; in fact, the company's sales had more than doubled since FY2005 when revenue was only 597mn euros.³³ Breaking down the company's FY2018 results by activities, D&G's retail revenue grew 7.1%, industrial and other revenue fell 6.5%, while licensing revenue increased by 9%.³⁴ Estimates of D&G's FY2017 geographical results showed that D&G derived about 24% of its revenue from Italy, 27% from the rest of Europe, 13% from the Americas, and 6% from Japan, with the remainder

²⁸ "Dolce & Gabbana – Official Android App for D&G Fans," *Apps & Games*, 26 June 2012, <https://www.androidauthority.com/dolce-gabbana-d-g-app-review-97475/>, accessed 11 May 2019.

²⁹ L. Hoang, "Dolce & Gabbana's Local Retail Revolution," *The Business of Fashion*, 16 September 2016, <https://www.businessoffashion.com/articles/news-analysis/dolce-gabbanas-local-retail-revolution>, accessed 11 May 2019.

³⁰ Ibid.

³¹ "Can Dolce & Gabbana Recover from Its Mistakes in China," *Knowledge@Wharton*, 11 December 2018, <https://knowledge.wharton.upenn.edu/article/dolce-gabbana-mistakes-in-china/>, accessed 11 May 2019.

³² C. Scozzari, "Il 2018 di Dolce & Gabbana: fatturato stabile, utile giù e niente dividendo per i due soci" ("Dolce & Gabbana's 2018: stable revenue, profit down and no dividend for the two partners"), *Business Insider Italia*, https://it.businessinsider.com/i-conti-di-dolce-gabbana-fatturato-stabile-utile-giu-e-niente-dividendo-per-i-due-soci/?refresh_ce, accessed 11 May 2019.

³³ D. Muret, "Dolce & Gabbana net profit soars, revenues up 9% on strong Italy," *Fashion Network*, 16 October 2017, <https://www.fashionnetwork.com/news/Dolce-Gabbana-net-profit-soars-revenues-up-9-on-strong-Italy.879674.html>, accessed 11 May 2019.

³⁴ C. Scozzari, "Il 2018 di Dolce & Gabbana: fatturato stabile, utile giù e niente dividendo per i due soci."

largely from the Asia Pacific region (outside Japan).³⁵ D&G reported a decline in net profit from 80mn euros in FY2017 to 60.5mn euros in FY2018.^{36,37} However, net profit that fiscal year was still more than three times higher than the 17.93mn euros the company achieved in FY2016.³⁸

D&G in China

D&G ventured into mainland China in 2005. It was the first Italian fashion company to obtain a license to operate in mainland China without a joint venture with a local partner.³⁹ This was considered a significant achievement at the time, because retail operations set up by foreign investors were largely restricted and heavily governed under the foreign direct investment catalogue prescribed by the China Ministry of Commerce. At the beginning of 2005, D&G established Dolce & Gabbana Hangzhou Ltd. Then, in April 2005, it opened the first flagship store in Hangzhou, the prosperous capital of Zhejiang Province and a beautiful city near Shanghai. The store was located at a new luxury venue known as “Eurostreet,” and had a space of 700 square meters. It featured collections for women, men, and accessories, occupying an entire three-story building. The third floor was designed as a VIP area, where special and more valuable items were displayed.⁴⁰ Within two years, D&G opened a second store in Beijing and a third store located on the Bund in Shanghai. By the end of 2018, it had more than 40 boutiques in Greater China, including in Hong Kong and Macau.

China appeared to be one of the favorite markets for the founders. Whenever they came to China, they walked the streets to observe ordinary citizens.⁴¹ According to Stefano,

*We came to see the boutiques and spend time with customers. We live in Milan. It's far from China. But we want to see our customers, dine at a very simple restaurant, to see what they eat and drink, and see how they live. If you want to know a country, you have to be in the midst of the people. This is the best way to understand the market.*⁴²

The founders did not only meet with celebrities and the famous but were eager to connect with local people, including students. In 2011, Domenico and Stefano held a seminar at the Central Academy of Fine Arts of Beijing, during their private visit to the capital of China. Angelica Cheung, editor in chief of *Vogue China*, was invited to act as a moderator between the designers and the audience, which included students, bloggers, and editors. After a video showing the founders at work, the seminar continued with a Q&A session. The highlight of the seminar was a “live performance”: the founders invited the students to share their sketches and realized the dress in front of the astonished audience.⁴³

³⁵ D. Muret, “Dolce & Gabbana net profit soars, revenues up 9% on strong Italy.”

³⁶ C. Scozzari, “Il 2018 di Dolce & Gabbana: fatturato stabile, utile giù e niente dividendo per i due soci.”

³⁷ “Dolce & Gabbana,” *Wikipedia*, https://en.wikipedia.org/wiki/Dolce_%26_Gabbana#cite_note-AAB-31, accessed 11 May 2019.

³⁸ D. Muret, “Dolce & Gabbana net profit soars, revenues up 9% on strong Italy.”

³⁹ Dolce & Gabbana Corporate: History, <https://www.dolcegabbana.com/corporate/en/history/main-stages.html#>, accessed 11 May 2019.

⁴⁰ *Ibid.*

⁴¹ J. Chen, “Dolce and Gabbana say Chinese style inspires their work,” *Jakarta Post*, 11 December 2015, <https://www.thejakartapost.com/news/2015/12/11/dolce-and-gabbana-say-chinese-style-inspires-their-work.html>, accessed 11 May 2019.

⁴² *Ibid.*

⁴³ Dolce & Gabbana Corporate: History, <https://www.dolcegabbana.com/corporate/en/history/main-stages.html#>, accessed 11 May 2019.

In March 2015, the founders visited Shanghai to host an exclusive gala dinner “Viva La China” to honor the Olympic badminton champion Lin Dan and the launch of his photo book.^{44,45} This special photo book was a creative product of the two founders, with the photos taken by Domenico and the book designed by Stefano.^{46,47} The book depicted the Olympic champion as an icon of masculinity. About 300 guests were invited to a dinner held at the Shanghai exhibition center. These included Naomi Campbell and a number of Chinese celebrities, among them, supermodel QiQi and actress Carina Lau. The photo book and limited-edition T-shirts with Lin Dan’s image were available in all D&G boutiques in China. D&G reached new heights, as the creative visual campaign created an unexpected dialogue between the two apparently distinct worlds of fashion and sports.⁴⁸ This was not the first time that D&G had launched marketing campaigns associated with famous athletes in China. In 2007, D&G signed an agreement with the Chinese Olympic football team to become the team’s sponsor.

In 2015, the founders organized a visit to Beijing thank its customers.⁴⁹ They attended a dinner at the landmark Diaoyutai guesthouse with VIP customers. According to Stefano,

*China is a very important market for us. We have many customers here who believe in Dolce & Gabbana. The reaction to our unique China package products is great.*⁵⁰

China was not only an important market for D&G but also a source of cultural inspiration for D&G’s designs. When the founders were working on their 2016 spring/summer collection, they found some old Dolce & Gabbana advertisements featuring the Chinese Palace in Palermo, Sicily. The palace was one of the largest and most iconic Chinese-style residences constructed during the baroque and rococo periods. The monument was a landmark example of rococo chinoiserie with traditional Sicilian elements. According to Domenico,

*The palace inspired us to infuse some of the most iconic elements of Chinese architecture into the DNA of Dolce & Gabbana.*⁵¹

The Chinese-style pieces became a part of the D&G 2016 spring/summer collection, which was named “Italy is love.” The collection included men’s suits and T-shirts with images of the Chinese Palace, birds, and bamboo, and dresses for women inspired by the traditional Chinese dress *qipao*.⁵² As Stefano said,

⁴⁴ K. L. Ma, “D&G Event in Honor of Lin Dan,” *Modern Culture of Tomorrow*, 28 March 2015, <https://moderncultureoftomorrow.com/dg-event-honor-lin-dan/>, accessed 11 May 2019.

⁴⁵ H. Marriott, “Dolce and Gabbana are unafraid of spats, but IVF row divides family of fans,” *The Guardian*, 21 March 2015, <https://www.theguardian.com/fashion/2015/mar/21/dolce-gabbana-ivf-row-family-italian-fashion-domenico-stefano>, accessed 11 May 2019.

⁴⁶ Y. Sun, “Sports star gets model makeover,” *China Daily*, 27 March 2015, http://www.chinadaily.com.cn/fashion/2015-03/27/content_19923346.htm, accessed 11 May 2019.

⁴⁷ J. Zhang, “Interview: Dolce and Gabbana on courting China, couture and those controversial baby comments,” *South China Morning Post*, 16 May 2015, <https://www.scmp.com/magazines/post-magazine/article/1796348/interview-dolce-and-gabbana-courting-china-couture-and-those>, accessed 11 May 2019.

⁴⁸ “Lin Dan photographed by Domenico Dolce in latest D&G campaign,” *Men’s Folio*, 31 March 2015, <http://www.mens-folio.com/15093/lin-dan-photographed-domenico-dolce-latest-dg-campaign/#XKyVBetHlPbxuyXc.97>, accessed 11 May 2019.

⁴⁹ J. Chen, “Dolce and Gabbana say Chinese style inspires their work.”

⁵⁰ Ibid.

⁵¹ Ibid.

⁵² S. Pitz, “Menswear Spring/Summer 2016—Dolce&Gabbana *The Chinese Palace* Collection. Back to Milan Fashion Week,” *Fashionworld Stuff*, 26 June 2015, <https://fashionworldstuff.com/2015/06/26/menswear-springsummer-2016-dolce&gabbana-the-chinese-palace-collection-back-to-milan-fashion-week/>, accessed 11 May 2019.

We looked at how global travelers enjoy the summer in Italy. For example, the Chinese pieces, which are traditional Chinese clothes with Italian embellishments and jewels, represent Chinese tourists who arrive in Italy and cannot wait to absorb the local mood and culture.⁵³

In February 2018, D&G appointed singer-actor Karry Wang Junkai and actress Dilraba Dilmurat as its first male and female Chinese brand ambassadors for the Asia Pacific market. Karry and Dilraba embodied the fresh and youthful look appropriate for their respective niches to showcase D&G's bolder designs.⁵⁴ Before his appointment, Karry had already participated in a D&G fashion show in June 2017, and in September 2018, D&G launched a special collection of T-shirts to celebrate Karry's birthday. In September 2018, Dilraba and Chinese stylist Han Huohuo participated in D&G's Milan fashion show, and their appearances received a positive response from the China market and earned extensive media coverage. Other well-known Chinese celebrities, including Wang Xiaoming, Liu Tao, and Tang Yixin, were also guests during promotional events or campaigns organized by the brand in China. D&G's Youku and Weibo accounts featured various videos of Chinese celebrities endorsing or promoting the brand's products. Although D&G had three official social media accounts in China, including Weibo, Youku, and WeChat, Weibo was the main promotional channel the company used, in addition to its official website.

Previous Controversies in China

Although D&G had had successful attempts in communicating the essence of its brand and demonstrated its capabilities to tailor products and stores to suit the local taste, it had upset local Chinese several times before the release of the controversial videos in 2018. Opinions were divided over D&G's blend of traditional Chinese elements in its 2016 spring advertising campaign. Some Chinese disliked the ads, which featured Chinese tourists reading Sicilian travel books, taking selfies with "locals," and carrying shopping bags.^{55, 56} The apparent emphasis on the Chinese tourists' propensity for taking selfies and their shopping habits caused a stir in China.

In 2017, D&G posted a series of photos tagged "#DGLovesChina" on its Weibo account. Shot by the photography team Morelli Brothers, the photos featured models wearing high-end fashion gowns in historic Chinese narrow streets known as hutongs and famous tourist attractions such as Tiananmen Square in Beijing, next to ordinary people, including tourists and taxi and pedicab drivers.^{57, 58} While the campaign was probably meant to incorporate local and historic elements with fashion to spark the interest of Chinese consumers, it did not achieve the intended effect. Instead, it triggered a huge debate across social media platforms in China. Many Chinese people were displeased with the choice of outdated street views as backgrounds instead of modern financial or commercial districts of the city. They were upset with the presentation of an outdated view of China with images of poor local citizens. D&G seemed not to recognize the modern progress of the city, as the ad had ignored the modern districts and generally stylish citizens. As one commentator said, "It almost looks like North Korea! This is

⁵³ J. Chen, "Dolce and Gabbana say Chinese style inspires their work."

⁵⁴ Anne, "Dilraba joins Karry Wang as the new ambassador for Dolce & Gabbana," *DramaPanda*, 21 February 2018, <http://www.drapapanda.com/2018/02/dilraba-joins-karry-wang-as-new.html>, accessed 11 May 2019.

⁵⁵ M. Galeotto, "What can we learn from the last Dolce & Gabbana PR disaster in China," *designhotpot*, 23 April 2017, <http://designhotpot.com/what-can-we-learn-from-the-last-dolce-gabbana-pr-disaster-in-china/>, accessed 11 May 2019.

⁵⁶ C. Fernandez, "Dolce & Gabbana's Busy Spring Campaign Stars Chinese 'Tourists' and Selfie-Taking 'Locals,'" *FASHIONISTA*, 8 January 2016, <https://fashionista.com/2016/01/dolce-gabbana-summer-2016-campaign>, accessed 11 May 2019.

⁵⁷ G. Puppini, "Playing with Chopsticks in China is not funny."

⁵⁸ C. Liu, "Dolce & Gabbana Fashion Shoot on Streets of Beijing Upsets Locals," *The Beijinger*, 23 April 2017, <https://www.thebeijinger.com/blog/2017/04/23/dolce-gabbana-photo-shoot-streets-beijing-upsets-locals>, accessed 11 May 2019.

definitely not what China looks like now!”⁵⁹ The juxtaposition of modern luxury fashion against old settings and impoverished people also appeared to clash with the Chinese concept of “face.”⁶⁰ “You intentionally show the backwards part of China. It is discrimination,” one Weibo user wrote.⁶¹ Other users held the view that the editing was overdone, with colors appearing too dirty and weird and therefore not matching the real look of the city. The “DGLoves China” campaign therefore gave an overall disrespectful impression. Some people compared similar campaigns launched by D&G in Hong Kong⁶² and Japan,⁶³⁻⁶⁴ in which models were seen against modern settings with skyscrapers and bright or flashing neon billboards.⁶⁵ The Hong Kong campaign received general positive feedback; the *South China Morning Post* described it as “a puckish, fun-filled ad campaign.”⁶⁶ The blend of both traditional and modern elements in the Japan campaign had also won praise from Asian audiences. One netizen commented, “The modern and traditional elements of Japanese streets go together well and are very beautiful . . . Japanese are so trendy in foreign styles.”⁶⁷ In response to negative comments on the marketing campaign in China, D&G removed the photos from its social media platform but did not provide any comment or clarification.

A Formal Apology?

While the social media storm after the release of the three videos on 18 November 2018 was in full force, some Chinese recalled that D&G had faced a similar public relations disaster in Hong Kong in 2012. The crisis was triggered when security guards forbid local Hong Kong citizens from taking photos of the Canton Road store while standing on the sidewalk. They said that the citizens’ acts could violate D&G’s “intellectual property” right.⁶⁸ However, they did not stop people from mainland China and other foreign countries from taking photos. The local media reported that D&G’s security staff enforced the policy, triggering accusations of discrimination against Hong Kong people in favor of the rich mainland Chinese tourists who kept the stores in business.⁶⁹ The actions sparked protests outside D&G’s store and heated debate online, which spanned several days and gained international news coverage on 8 January 2012. The store was forced to close early as a result of the protest [see **Exhibit 5**]. D&G’s Milan headquarters finally issued a formal apology on 18 January 2012:

*We understand that the events which unfolded in front of the Dolce & Gabbana boutique on Canton Road have offended the citizens of Hong Kong, and for this we are truly sorry and we apologise. The Dolce & Gabbana policy is to welcome the Hong Kong people and that of the whole world respecting the rights of each individual and of the local laws.*⁷⁰

D&G took about 10 days to apologize after the crisis broke out in Hong Kong in January 2012.

⁵⁹ M. Galeotto, “What can we learn from the last Dolce & Gabbana PR disaster in China.”

⁶⁰ Ibid.

⁶¹ Y. Pan, “Dolce and Gabbana Campaign Sparks Controversy On China’s Social Media,” *Jing Daily*, 25 April 2017, <https://jingdaily.com/dolce-gabbana-campaign-controversy/>, accessed 11 May 2019.

⁶² C. Liu, “Dolce & Gabbana Fashion Shoot on Streets of Beijing Upsets Locals.”

⁶³ Ibid.

⁶⁴ Dolce & Gabbana, “#DGLovesJapan by Morelli Brothers”, 14 April 2017, YouTube, <https://www.youtube.com/watch?v=bJXq3EVzd9g>, accessed 11 May 2019.

⁶⁵ M. Galeotto, “What can we learn from the last Dolce & Gabbana PR disaster in China.”

⁶⁶ C. Liu, “Dolce & Gabbana Fashion Shoot on Streets of Beijing Upsets Locals.”

⁶⁷ Ibid.

⁶⁸ M. Galante, “Dolce & Gabbana Officially Apologizes to Hong Kong People For That Photo Banning Incident,” *Business Insider*, 18 January 2012, <https://www.businessinsider.com/dolce-and-gabbana-officially-apologizes-to-hong-kong-protestors-2012-1>, accessed 11 May 2019.

⁶⁹ “Dolce & Gabbana apologizes for Photo Spat,” *Wall Street Journal*, 19 January 2012, <https://blogs.wsj.com/chinarealtime/2012/01/19/dolce-gabbana-apologizes-for-photo-spat/>, accessed 11 May 2019.

⁷⁰ Ibid.

Response time was critical in crisis management. As the first, critical fashion show in Shanghai drew near, local Chinese expected that D&G would act swiftly to quell the controversy triggered by the videos before the show began on the evening of 21 November 2018. However, D&G allowed the debate to simmer and boil for a few days after the release of the videos.

Some analysts commented that if D&G's proportion of China-sourced revenue approximated that of its rivals, about 30% of its revenue could be at risk if it did not handle the crisis carefully.⁷¹ That figure would not even include all the purchases Chinese nationals made in other countries; they were believed to be the world's biggest luxury buyers and the likely source of future sales and growth [see **Exhibit 6**].^{72, 73}

⁷¹ L. Zargani and T. Ap, "Dolce & Gabbana: Assessing the Fallout," *WWD*, 25 November 2018, <https://wwd.com/fashion-news/fashion-features/dolce-gabbana-surviving-china-controversy-1202912436/>, accessed 11 May 2019.

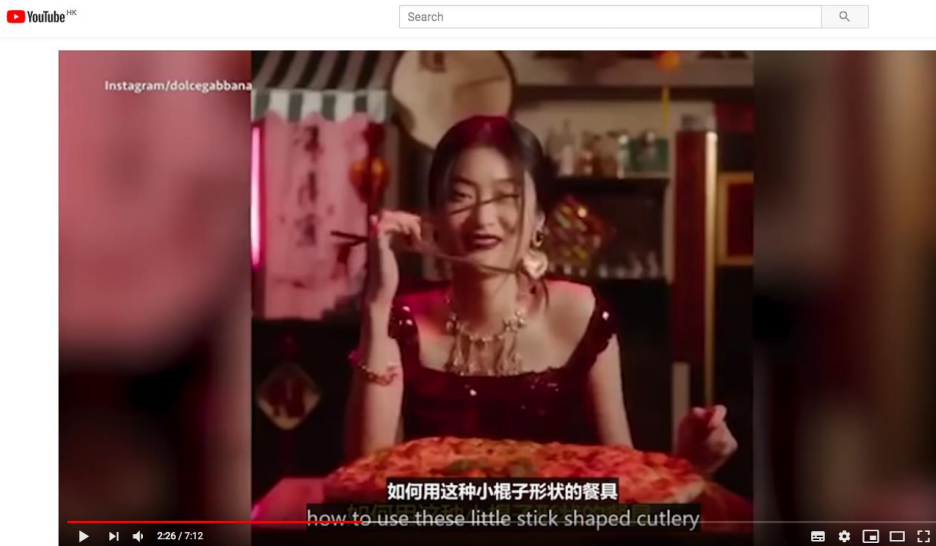
⁷² A. Felsted, "D&G's Racism Row Shows the Worst of Fashion," *Bloomberg Opinion*, 22 November 2018, <https://www.bloomberg.com/opinion/articles/2018-11-22/dolce-and-gabbana-racism-row-shows-the-worst-of-fashion>, accessed 11 May 2019.

⁷³ "2017 China Luxury Market Study," Bain & Company, <http://www.bain.com.cn/pdfs/201801180441238002.pdf>, accessed 11 May 2019.

**EXHIBIT 1: “#DGLOVESCHINA AND #DGTHEGREATSHOW” CAMPAIGN—
SELECTED SCENES OF EPISODE 1: PIZZA MARGHERITA (NOVEMBER 2018)**



The things you never notice in these commercials D&G Commercial English Dub/Sub



The things you never notice in these commercials D&G Commercial English Dub/Sub



The things you never notice in these commercials D&G Commercial English Dub/Sub



The things you never notice in these commercials D&G Commercial English Dub/Sub

Source: "The things you never notice in these commercials D&G Commercial English Dub/Sub," *LC Chinese Esports*, 28 November 2018, <https://www.youtube.com/watch?v=cJ83SVAAaNR4>, accessed 11 May 2019. (Original video by D&G)

**EXHIBIT 2: “#DGLOVESCHINA AND #DGTHEGREATSHOW” CAMPAIGN—
SELECTED SCENES OF EPISODE 2: DEEP-FRIED CANNOLI (NOVEMBER 2018)**



The things you never notice in these commercials D&G Commercial English Dub/Sub



The things you never notice in these commercials D&G Commercial English Dub/Sub

Source: “The things you never notice in these commercials D&G Commercial English Dub/Sub,” *LC Chinese Esports*, 28 November 2018, <https://www.youtube.com/watch?v=cJ83SVAaNR4>, accessed 11 May 2019. (Original video by D&G)

**EXHIBIT 3: “#DGLOVESCHINA AND #DGTHEGREATSHOW” CAMPAIGN—SELECTED
SCENES OF EPISODE 3: DEEP-FRIED CANNOLI (NOVEMBER 2018)**



The things you never notice in these commercials D&G Commercial English Dub/Sub



The things you never notice in these commercials D&G Commercial English Dub/Sub



The things you never notice in these commercials D&G Commercial English Dub/Sub





Source: “The things you never notice in these commercials D&G Commercial English Dub/Sub,” *LC Chinese Esports*, 28 November 2018, <https://www.youtube.com/watch?v=cJ83SVAaNR4>, accessed 11 May 2019. (Original video by D&G)

**EXHIBIT 4: “#DGLOVESCHINA AND #DGTHEGREATSHOW” CAMPAIGN—SCENE
ABOUT SHANGHAI (NOVEMBER 2018)**

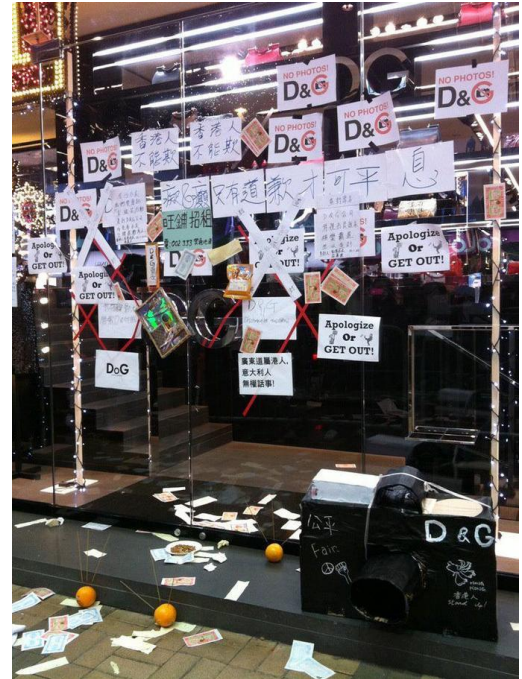


The things you never notice in these commercials D&G Commercial English Dub/Sub

Source: “The things you never notice in these commercials D&G Commercial English Dub/Sub,” *LC Chinese Esports*, 28 November 2018, <https://www.youtube.com/watch?v=cJ83SVAaNR4>, accessed 11 May 2019. (Original video by D&G)

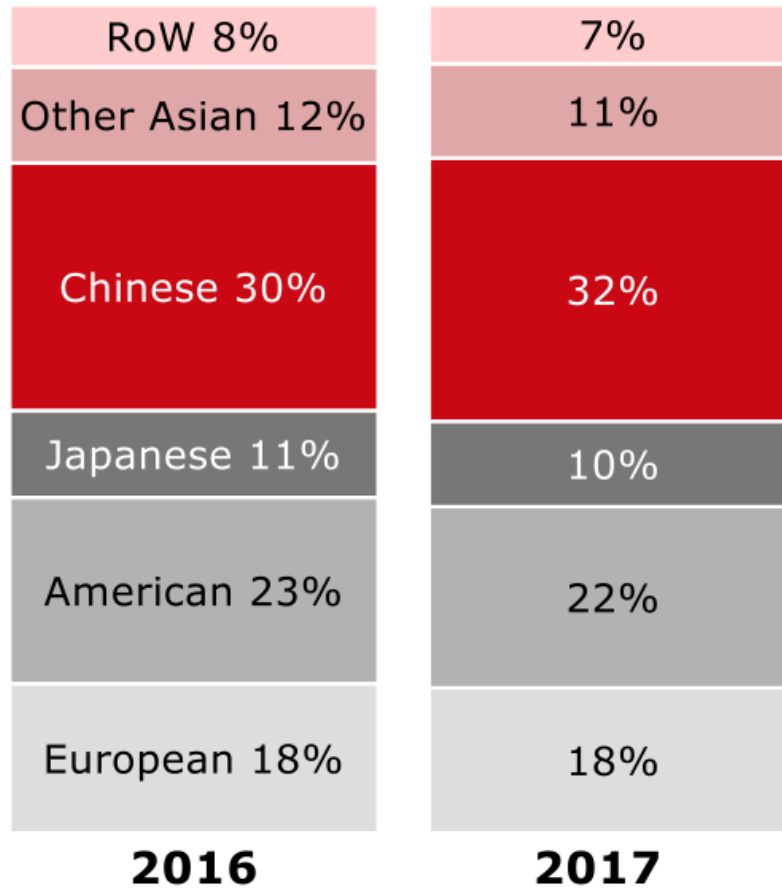
Note: The correct text for Shanghai in Chinese should be 上海

EXHIBIT 5: D&G PHOTO BAN PROTEST IN HONG KONG–JANUARY 2012



Source: M. Chan, "Dolce & Gabbana Photo Ban Protest," *Know Your Meme*, January 2012, <https://knowyourmeme.com/memes/events/dolce-gabbana-photo-ban-protest>, accessed 11 May 2019; "Dolce & Gabbana Photo Ban Sparks Protest in Hong Kong," *Wall Street Journal*, 9 January 2012, <https://blogs.wsj.com/chinarealtime/2012/01/09/dolce-gabbana-photo-ban-sparks-protest-in-hong-kong/>, accessed 11 May 2019.

EXHIBIT 6: GLOBAL LUXURY MARKET BY CONSUMER NATIONALITY

MARKET BY CONSUMER NATIONALITY

RoW = Rest of the world.

Source: "2017 China Luxury Market Study," Bain & Company,
<http://www.bain.com.cn/pdfs/201801180441238002.pdf>, accessed 11 May 2019.